Quarterly Theory by Trader Daye & Compiled by @ransh28.06

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1. Introduction

The Quarterly Theory is a trading framework developed by Jevaunie Daye, known as Trader Daye, building upon concepts from Michael Huddleston's Inner Circle Trader (ICT) mentorships. Introduced in March 2023, this theory emphasizes dividing time into specific quarters to analyze market cycles, aiming to enhance precision in identifying accumulation, manipulation, distribution, and reversal/continuation phases within various

timeframes.

2. Foundations of the Quarterly Theory

The Quarterly Theory is built upon the concept of dividing time into specific segments to analyze and predict market behavior. The primary components of this segmentation include:

a. Time Division into Quarters

Time is considered fractal and is divided into quarters across various timeframes:

- **Yearly Quarters: Four quarters of three months each.**
- **Monthly Quarters: Four quarters of one week each.**
- **Weekly Quarters: Four quarters of one day each (Monday to Thursday), with Friday having its own specific function.**
- **Daily Quarters: Four quarters of six hours each, corresponding to four trading sessions of a trading day.**
- **Session Quarters: Four quarters of 90 minutes each.**
- **90-Minute Quarters: Four quarters of 22.5 minutes each.**

This structured division allows traders to analyze market cycles within these specific time segments.

b. True Opens

True Opens are the beginning reference points for each cycle, typically the opening price at the second quarter (Q2) of the respective timeframe. They serve as filters to anticipate Smart Money reversals or stop-runs. For example:

- **True Weekly Open: Tuesday midnight open.**
- **True Daily Open: 12:00 AM.**
- **True Session Open: 7:30 AM for the New York AM session.**

Understanding True Opens aids in framing trade ideas by considering time and price, aligning with the market's cyclical nature.

c. Accumulation, Manipulation, Distribution, and Reversal/Continuation Phases

Each quarter within a timeframe represents a specific market phase:

1. **Accumulation (A): The phase where positions are accumulated, often characterized by consolidation.**
2. **Manipulation (M): The phase where the market moves against the prevailing trend to trap traders, known as the Judas Swing.**
3. **Distribution (D): The phase where accumulated positions are distributed, leading to a low resistance liquidity run.**
4. **Reversal/Continuation (X): The phase indicating either a reversal or continuation of the previous quarter's trend.**

These phases can present in one of two forms:

- **Form 1:**
  - **Q1: Accumulation**
  - **Q2: Manipulation**
  - **Q3: Distribution**
  - **Q4: Reversal/Continuation**
- **Form 2:**
  - **Q1: Reversal/Continuation**
  - **Q2: Accumulation**
  - **Q3: Manipulation**
  - **Q4: Distribution**

Recognizing these phases within the quarterly divisions aids traders in anticipating market movements.

3. Application of the Quarterly Theory

The Quarterly Theory can be applied across various timeframes, each with its specific structure:

a. Yearly Cycle

The year is divided into four quarters, each consisting of three months:

- **Q1: January, February, March.**
- **Q2: April, May, June (True Open at April Open).**
- **Q3: July, August, September.**
- **Q4: October, November, December.**

This division aligns with financial quarters and helps in analyzing long-term market cycles.

b. Monthly Cycle

Considering four weeks in a month, the cycle starts on the first Monday of the month:

- **Q1: Week 1 – First Monday of the month.**
- **Q2: Week 2 – Second Monday of the month (True Open at Daily Candle Open Price).**
- **Q3: Week 3 – Third Monday of the month.**
- **Q4: Week 4 – Fourth Monday of the month.**

This structure aids in identifying monthly market phases.

c. Weekly Cycle

The trading week is divided into quarters, with a specific focus on the first four days:

- **Q1: Tuesday.**
- **Q2: Wednesday.**
- **Q3: Thursday.**
- **Q4: Friday.**

Here, Tuesday midnight open is considered the True Weekly Open, providing a reference point for weekly analysis.

d. Daily Cycle

Each trading day is divided into four quarters of six hours each:

- **Q1: 6:00 PM – 12:00 AM (Asia Session).**
- **Q2: 12:00 AM – 6:00 AM (London Session, True Daily Open at 12:00 AM).**

- Q3: 6:00 AM – 12:00 PM (New York AM Session).
- Q4: 12:00 PM – 6:00 PM (New York PM Session).

This division aligns with major trading sessions and aids in intraday analysis.

e. Session Quarters

Each trading session is further divided into four quarters, similar to the broader quarterly structure. This division allows traders to time their entries and exits based on the institutional price delivery framework.

Structure of Session Quarters:

Each trading session (Asia, London, New York) consists of four quarters:

1. Quarter 1 (Q1): Range Formation / Liquidity Pool Creation
   - The session begins with market makers establishing a range.
   - Liquidity is built above and below price to set up a later move.
   - Often characterized by consolidation or small stop hunts.
2. Quarter 2 (Q2): Expansion Phase
   - Institutional traders execute their primary move for the session.
   - Price moves directionally, targeting liquidity pools.
   - Traders align with this move based on higher timeframe bias.
3. Quarter 3 (Q3): Continuation / Pullback
   - Price either continues in the direction of the expansion or pulls back.
   - If liquidity is still available, another leg of movement can occur.
   - If liquidity is exhausted, price may consolidate.
4. Quarter 4 (Q4): Reversal / Profit-Taking
   - Institutions close positions or reverse price direction.
   - This quarter often results in retracements or full reversals.
   - Provides setups for traders looking for reversals or continuation plays.

Session Quarters Across Different Market Sessions:

- **Asian Session: Mostly range-bound, often setting liquidity traps for London.**
- **London Session: Strongest expansion phase, ideal for trending trades.**
- **New York Session: Provides continuation or reversal of London's move.**

I'll continue with the remaining sections following the Table of Contents.

3F. 90-Minute Quarters

In Quarterly Theory, a deeper time-based subdivision involves 90-minute quarters, which are derived from the concept of session quarters.

Understanding 90-Minute Quarters

Each major trading session (Asian, London, New York) is broken down into four 90-minute quarters, creating a structured view of how liquidity and price action unfold throughout the trading day.

These 90-minute segments are critical because they often align with key market movements, including:

1. **Liquidity shifts: Smart money accumulates, manipulates, and distributes liquidity within these windows.**
2. **Institutional trading activity: Large financial institutions execute orders at these times.**
3. **Significant price reactions: Many reversals, breakouts, and continuations originate in these 90-minute cycles.**

Breakdown of the 90-Minute Quarters in Each Session

Session	90-Minute Quarters	Expected Price Behavior
Asian (Tokyo)	00:00 - 01:30 01:30 - 03:00 03:00 - 04:30 04:30 - 06:00	Low volatility, accumulation, occasional false moves
London	07:00 - 08:30 08:30 -	High volatility, liquidity

	10:00 10:00 - 11:30 11:30 - 13:00	grabs, manipulation
New York	13:00 - 14:30 14:30 - 16:00 16:00 - 17:30 17:30 - 19:00	Reversals, trend continuations, NY-London overlaps

Key Takeaways:

- **Market makers operate on these 90-minute cycles, targeting liquidity at key points.**
- **Retail traders get trapped in false breakouts that often occur within these quarters.**
- **High-impact news events frequently align with these 90-minute intervals.**

This concept ties closely to 90SSMT (90-Minute Smart Money Transition), where smart money executes transitions that lead to significant market moves.

4. Trading Strategies Based on the Quarterly Theory

Now, moving into practical trading strategies based on the Quarterly Theory.

4A. Identifying Market Phases

Before executing trades, traders must understand the four market phases within the Quarterly Theory:

1. **Accumulation – Liquidity is built up; smart money positions itself.**
2. **Manipulation – False moves trigger stop hunts and liquidity grabs.**
3. **Distribution – Institutions unload positions into retail liquidity.**
4. **Reversal/Continuation – Either a reversal to a new trend or a continuation of the existing one.**

Application in Trading:

- **Look for true opens to confirm phase shifts.**
- **Identify SMT divergences between correlated assets.**
- **Use 90-minute quarters to time entries with high-probability setups.**

4B. Utilizing True Opens for Trade Entries

True Opens are essential in Quarterly Theory-based trading strategies:

- **Market reversals often occur around these key opens.**
- **Entries & exits should align with how price reacts to True Opens.**
- **Combining True Opens with SMT and liquidity concepts improves accuracy.**

Example:
If London True Open aligns with liquidity sweep and SMT divergence, it signals a high-probability entry.

4C. Aligning with ICT's Power of 3 Concept

ICT's Power of 3 (PO3) complements Quarterly Theory as follows:

- **Accumulation Phase → Manipulation Phase → Distribution Phase**
- **In trading, this means price will:**
  1. **Build liquidity (Accumulation).**
  2. **Sweep liquidity (Manipulation).**
  3. **Move in the intended direction (Distribution).**

Quarterly Theory + PO3:

- **Identify high-impact session quarters for price manipulation.**
- **Use True Opens as reference points for market structure shifts.**
- **Validate entries with SMT divergences and 90-minute cycles.**

5. Practical Application and Considerations

5A. Market Conditions

- **Quarterly Theory works best in trending markets with institutional participation.**
- **Less effective in low-liquidity periods or heavily manipulated ranges.**

5B. Combining with Other Analysis Methods

To refine entries, Quarterly Theory should be paired with:

1. **ICT concepts (Liquidity, SMT, Fair Value Gaps, PO3).**
2. **Smart Money concepts (Institutional Order Flow, Stop Hunts).**
3. **Macroeconomic factors (News, Interest Rates, CPI, NFP).**

5C. Risk Management

- **Stop-loss placement: Above/below liquidity pools instead of arbitrary levels.**
- **Risk-to-reward (R:R): Aim for 1:5 or better by trading with the quarterly cycle.**
- **Avoid overtrading: Not every session quarter provides an ideal entry.**

6. Critiques and Limitations

6A. Requires Deep Market Understanding

- **Not easy for beginners; requires strong price action knowledge.**
- **Must be paired with liquidity concepts to be effective.**

6B. Works Best in Institutional Trading Hours

- **Less effective in Asian session due to low volume.**
- **Best applied during London & New York trading sessions.**

6C. Complex Execution

- **Requires constant observation of session quarters & SMT.**
- **True Opens need real-time confirmation, making it challenging for part-time traders.**

7. Conclusion

The Quarterly Theory provides a structured approach to market movements, offering

insights into liquidity shifts, smart money behavior, and institutional trade execution.

Key Takeaways:

- **The market moves in quarters (yearly, monthly, weekly, daily, and session-based).**
- **True Opens serve as critical points for price action validation.**
- **90-minute cycles align with institutional trading activity.**
- **When combined with SMT, ICT concepts, and liquidity principles, Quarterly Theory becomes a powerful trading framework.**

However, it requires skill, patience, and experience to be executed effectively. Traders should continuously backtest and refine their approach to maximize its potential.

SMT Divergences in Quarterly Theory

Smart Money Technique (SMT) Divergence plays a crucial role in Quarterly Theory by helping traders identify liquidity imbalances and institutional manipulation within different quarterly cycles (yearly, monthly, weekly, daily, session, and 90-minute quarters).

Quarterly Theory primarily incorporates three main types of SMT divergences:

1. **Standard SMT Divergence (General SMT)**
2. **Session-Based SMT (SSMT)**
3. **90-Minute SMT (90SSMT)**

Each type provides a unique perspective on how smart money manipulates price across different time cycles.

1. Standard SMT Divergence (General SMT)

Definition:

- **Occurs when correlated assets or related markets move in different directions, revealing institutional liquidity manipulation.**

How it Works in Quarterly Theory:

- **Used to validate market reversals within Quarterly Cycles (e.g., at the end of a session quarter).**
- **Commonly applied between indices (NASDAQ vs. S&P500), forex pairs (EUR/USD vs. GBP/USD), or bonds (US10Y vs. US30Y).**
- **Helps confirm whether price action is driven by real demand or smart money traps.**

Example in Quarterly Theory:

- **If NASDAQ sweeps liquidity at a session quarter high, but S&P500 fails to break the high, it indicates a bearish SMT divergence and a potential short setup.**

2. Session-Based SMT (SSMT)

Definition:

- **A specialized form of SMT divergence that occurs within session quarters (Asian, London, New York).**
- **Compares price action between different trading sessions or session quarters to identify institutional positioning and liquidity grabs.**

Types of SSMT Divergence

Type	Description	Example in Quarterly Theory
London SMT	Compares price action in London session quarters to New York	If London makes a higher high but New York fails, it signals bearish SMT
New York SMT	SMT divergence between London close & NY open	If NY makes a lower low, but London does not, it signals bullish SMT
Asian SMT	Used to detect liquidity traps in low-volume	If Asia sweeps liquidity but London reverses, it

	hours	signals a false move

SSMT in Quarterly Theory

- **Occurs within session quarters (e.g., London Open vs. NY Open).**
- **Helps traders time reversals at True Opens.**
- **Confirms if price movement is liquidity-driven or trend-based.**

Example:

- **If London True Open sweeps a liquidity pool but NY session does not break that level, it indicates a bearish session SMT, signaling a short trade.**

3. 90-Minute SMT (90SSMT)

Definition:

- **A deeper-level SMT divergence that occurs within 90-minute quarters of a trading session.**
- **Detects institutional liquidity grabs at a finer level compared to session-based SMT.**

How 90SSMT Works in Quarterly Theory

- **90-minute quarters are key liquidity windows where smart money executes stop hunts, fake breakouts, and reversals.**
- **90SSMT focuses on SMT divergences within these 90-minute cycles.**
- **Used for scalping and intraday trading, while session SMT is more suitable for swing trading.**

Example:

- **If first 90-minute quarter in London sweeps liquidity, but the second 90-minute quarter does not make a new high, it signals a bearish SMT divergence.**
- **If NASDAQ makes a lower low in the 90-minute quarter, but S&P500 fails to, it signals a bullish SMT divergence.**

Differences Between Standard SMT, SSMT, and 90SSMT

Type	Timeframe	Best Used For	Key Advantage
Standard SMT (General SMT)	Daily to Weekly	Long-term swings	Detects institutional price manipulation between correlated assets
Session-Based SMT (SSMT)	Session quarters (London, NY, Asia)	Intraday & Swing trading	Identifies session-specific liquidity grabs & market traps
90-Minute SMT (90SSMT)	90-minute quarters	Scalping & Day Trading	Detects precise liquidity grabs in micro-timeframes

Key Takeaways

1. **Standard SMT is broad and applies to multiple assets.**
2. **SSMT focuses on session quarters, revealing liquidity shifts between trading sessions.**
3. **90SSMT is a micro-level SMT, used for fine-tuned scalping and intraday trading.**
4. **All three SMT types align with Quarterly Theory, enhancing market timing and trade confirmation.**

- **Detailed Strategy: Trading Quarterly Theory with SMT Divergences**

This strategy combines Quarterly Theory, SMT divergences, and PD Arrays to increase trade precision. It follows a systematic approach, ensuring high-probability trade setups.

1. Core Principles of This Strategy

This trading strategy is built on three key concepts:

✅ Quarterly Theory → Time-based market structure (Yearly, Monthly, Weekly, Daily, and Session Quarters).
✅ SMT Divergence → Liquidity-based divergence to confirm smart money activity.
✅ PD Arrays → High-probability price levels where institutional traders enter positions.

Each component ensures that a trade setup aligns with institutional footprints, reducing fakeouts.

2. Step-by-Step Guide to Trading Quarterly Theory with SMT

Step 1: Identify the Current Quarter in the Market Cycle

- **Determine which quarter the market is in (e.g., Q1, Q2, Q3, Q4 for Monthly Cycle or Session Quarters).**
- **Check if the market is in an Accumulation, Manipulation, or Distribution phase.**
- **Look for signs of liquidity grabs, false breakouts, or consolidation before a major move.**

📌 Example: If it's Session Q2 (Manipulation Phase), expect stop hunts and liquidity grabs before a trend move in Q3.

Step 2: Scan for SMT Divergences Across Correlated Markets

SMT (Smart Money Technique) divergence occurs when related assets show liquidity imbalances:

- **Bullish SMT: One market makes a lower low, while another fails to do so (strong buy signal).**
- **Bearish SMT: One market makes a higher high, while another fails to do so (strong sell signal).**

How to Identify SMT?

🔍 Compare major correlated markets:

- **NASDAQ vs. S&P 500**

- EUR/USD vs. GBP/USD
- DXY vs. Forex Pairs

📌 Example: If NASDAQ makes a lower low but S&P500 doesn't, this is a bullish SMT—indicating a possible long trade.

Step 3: Identify PD Arrays as Entry Points

Once SMT divergence is spotted, wait for price to tap into a PD Array in the correct zone:

- For Long Trades: Wait for price to reach Discounted PD Arrays (Bullish Order Block, FVG, Mitigation Block).
- For Short Trades: Wait for price to reach Premium PD Arrays (Bearish Order Block, FVG, Mitigation Block).

📌 Example: If a bullish SMT occurs, but price is still in a Premium zone, wait for it to drop into a Discounted FVG or Order Block before entering long.

Step 4: Confirm Entry with Inversion or Liquidity Grab

Once price taps into a PD Array, look for a final confirmation:
✅ Inversion Structure: Price reacts, then breaks a short-term high/low, confirming direction.
✅ Liquidity Grab: Price sweeps liquidity before reversing (e.g., wick below a previous low, then quick rejection).

📌 Example: If price taps into a Bullish Order Block after SMT, wait for a 5-minute structure shift before entering.

Step 5: Set Stop Loss & Take Profit Levels

🎯 Stop Loss: Below the liquidity grab or Order Block (logical invalidation point).
🎯 Take Profit:

- TP1: First liquidity pool or opposing FVG.
- TP2: Q3 High or Q4 Low (depending on trade direction).
- TP3: Major Weekly/Monthly PD Array.

📌 **Example: If you're long on NASDAQ, TP1 could be the previous high, TP2 the Quarterly Q3 High, and TP3 a higher-timeframe liquidity zone.**

3. Example Trade Setup (NASDAQ Long Trade)

📍 **Step 1: Identify Quarter & Market Context**

- **Session: New York Session, Q2 (Manipulation Phase)**
- **NASDAQ made a lower low, but S&P500 did not → Bullish SMT detected**

📍 **Step 2: Identify PD Array in Discount Zone**

- **Bullish Order Block found at a Discount Level**
- **Liquidity below previous session's low (perfect for liquidity grab)**

📍 **Step 3: Entry Confirmation with Inversion**

- **Price taps Order Block, then makes a higher high on the 5M chart → Entry Triggered**

📍 **Step 4: Set SL & TP**

✅ **SL: Below Order Block (5-10 points buffer).**
✅ **TP1: First liquidity pool (~1:3 R:R).**
✅ **TP2: Session Q3 High (~1:6 R:R).**
✅ **TP3: Major Weekly FVG (~1:10 R:R).**

4. Key Risk Management & Considerations

📌 **Risk Only 1-2% Per Trade**
📌 **Do Not Chase SMT Without PD Array Tap**
📌 **Trade Only Within High-Liquidity Sessions (NY, London)**

5. Final Thoughts

This strategy ensures that each trade aligns with Quarterly Theory, SMT Divergences, and PD Array Confirmation—creating high-probability trade setups.

Quarterly Theory + SMT Divergence Trading Checklist

1. Higher Timeframe (HTF) Bias & Market Context

- Identify the overall market structure (Bullish/Bearish)
- ☐ Look for high-probability liquidity zones
- ☐ Determine the True Open Levels for the relevant quarters
- ☐ Check the Yearly, Monthly, and Weekly Quarters for alignment

2. Session & Intraday Analysis

- ☐ Mark the Daily and Session Quarters
- ☐ Identify the 90-Minute Quarters for precision entries
- ☐ Observe if the market is in Accumulation, Manipulation, Distribution, or Reversal/ Continuation Phase

3. SMT Divergence Confirmation

- ☐ Compare correlated pairs (e.g., NASDAQ vs. S&P 500) for SMT divergence
- ☐ Identify bullish SMT: One pair makes a lower low, but the other fails to do so
- ☐ Identify bearish SMT: One pair makes a higher high, but the other fails to do so
- ☐ Confirm SMT divergence aligns with a key Quarterly Open or Liquidity Pool

4. Trade Execution Criteria

- ☐ Wait for the price to tap into a PD Array (e.g., FVG, OB, Discount, or Premium Zone)
- ☐ Ensure SMT divergence is still valid at the entry point
- ☐ Check if ICT's Power of 3 (Accumulation, Manipulation, Distribution) is aligning
- ☐ Look for an entry confirmation (e.g., Break of Structure (BOS) or Change of Character (ChoCh))

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